1. Meet the policy and open the data

Question: Did North Carolina's 2013 UI cuts reduce unemployment?

Name: _____ Date: _____

In February 2013, North Carolina passed legislation reducing UI generosity. The changes took effect in July 2013.

We will start with a two-state table and simple regression, inspect monthly trends, and then expand the time window and comparison group.

Step 1A. Extract the package. Save a new do-file as `my_nc_lab.do`. Replace the example path below with the extracted folder's path. Use forward slashes on Windows too. Run complete blocks from the Do-file Editor.

```
clear all
set more off
cd "/YOUR/PATH/NC_UI_DiD_Teaching_Package"
capture log close
log using "my_nc_lab.log", text replace
import delimited "nc_ui_monthly_2010_2018.csv", clear
describe
list state year month unemployment_rate in 1/8
```

Step 1B. Declare and check the monthly panel.

```
gen mdate = ym(year,month)
format mdate %tm
isid state_id mdate
xtset state_id mdate
count
tab state
summarize unemployment_rate
```

Record the unit of observation, number of observations, and number of states.

1C. Start simple: North Carolina and Virginia Use one treated state and one neighboring comparison state. The outcome is the seasonally adjusted **unemployment rate**, not benefit receipt or benefit exhaustion.

Before: July–December 2012. **After:** July–December 2013. We compare the same six calendar months in each year. The after window ends before the nationwide federal emergency-benefit expiration at the end of December 2013. Virginia is an illustrative comparison, not an automatically valid counterfactual.

Temporarily restrict the sample:

```
preserve
keep if inlist(state,"NC","VA")
keep if inlist(year,2012,2013) & inrange(month,7,12)
gen post_simple = (year==2013)
assert treated == (state=="NC")
count
tab state post_simple
bysort state post_simple: summarize unemployment_rate
```

Check: 24 observations, six in each state-period cell. `treated` equals one for NC; `post_simple` equals one for the after period.

Use the means from Stata to complete the table. Keep at least three decimal places until the final answer. Differences are in percentage points.

	Before	After	After − Before
	Jul–Dec 2012	Jul–Dec 2013	
North Carolina			
Virginia			
NC − VA			

$$\widehat{\tau} = (\bar{Y}_{NC,after} - \bar{Y}_{NC,before}) - (\bar{Y}_{VA,after} - \bar{Y}_{VA,before}).$$

My DiD estimate: _____ percentage points.

What is NC's predicted after-period unemployment rate without the reform, if NC had changed by the same amount as VA? Why is NC's decline alone not the DiD estimate?

Keep this temporary sample for the next page. Do not restore yet.

1D. Estimate the same comparison in Stata

Estimate the lecture equation using the same 24 state-month observations:

$$Y_{i,t} = \alpha + \beta NC_i + \lambda After_t + \tau(NC_i \times After_t) + \varepsilon_{i,t}.$$

Here NC_i is `treated`, and $After_t$ is `post_simple`.

```
reg unemployment_rate i.treated##i.post_simple
scalar simple_did = _b[1.treated#1.post_simple]
display "NC-VA DiD (percentage points): " simple_did
```

The `##` syntax includes both main effects and their interaction.

Coefficient	Meaning	Estimate
`_cons`	VA before	
`1.treated`	NC − VA before	
`1.post_simple`	VA's change	
`1.treated#1.post_simple`	NC's change − VA's change	

1. Does the interaction coefficient equal your table calculation? Why?
2. Interpret its sign and magnitude in one sentence.
3. Why is the post-period coefficient alone not the policy effect?
4. State the parallel-trends assumption for NC and VA. What could violate it?
5. Does lower unemployment necessarily mean more people found jobs?

Focus on point estimates. Default regression standard errors are not appropriate for inference with dependent state-month observations. With two states and one treated state, conventional state-clustered significance tests are not a credible solution either. This exercise demonstrates the equality of the table calculation and interaction coefficient.

Restore the full data before continuing:

```
restore
count
```

Check: 2,244 observations. The next sections expand to all 21 comparison states and July 2010–December 2013. Use the original `post` variable there. The estimate may differ because both the comparison group and before window change.

2. Plot the raw trends

A two-period table hides the monthly paths. We now inspect those paths and broaden the comparison group. For the main exercise, stop in December 2013: federal emergency benefits expired nationally at the end of that year, changing the contrast afterward.

```
keep if mdate <= ym(2013,12)
tab treated post
list state mdate treated post did ///
    if state=="NC" & year==2013, noobs
preserve
collapse (mean) unemployment_rate, by(mdate treated)
local announce = ym(2013,2)
local implement = ym(2013,7)
twoway ///
 (line unemployment_rate mdate if treated==1, ///
     lcolor(navy) lwidth(medthick)) ///
 (line unemployment_rate mdate if treated==0, ///
     lcolor(maroon) lwidth(medthick)), ///
 xline(`announce', lpattern(dot)) ///
 xline(`implement', lpattern(dash)) ///
 legend(order(1 "North Carolina" 2 "Comparison mean")) ///
 ytitle("Unemployment rate (%)") xtitle("Month") ///
 title("Raw unemployment trends")
graph export "my_raw_trends.png", replace width(1800)
restore
```

Why preserve/restore? `collapse` temporarily replaces state-month rows with group-month means. `restore` returns the state-level panel. Comparison states receive equal weights.

In the lecture notation, $D_i = 1$ for NC and $T_t = 1$ from July 2013 onward. In Stata, these are `treated` and `post`; `did` is their product.

1. Do the groups have the same unemployment levels? Must they for DiD?
2. Before February 2013, do the groups move similarly?
3. Does NC's decline begin before or after July implementation?

3. Align the lines and assess pre-policy trends

Shift the comparison mean by a constant so it matches NC in January 2013, before the bill passed. This is a graphing choice; treatment still starts in July.

```
preserve
collapse (mean) unemployment_rate, by(mdate treated)
quietly summarize unemployment_rate ///
    if treated==1 & mdate==ym(2013,1)
local nc_jan = r(mean)
quietly summarize unemployment_rate ///
    if treated==0 & mdate==ym(2013,1)
local shift = `nc_jan' - r(mean)
gen aligned_rate = unemployment_rate + `shift'*(treated==0)
local announce = ym(2013,2)
local implement = ym(2013,7)
twoway ///
 (line aligned_rate mdate if treated==1, ///
     lcolor(navy) lwidth(medthick)) ///
 (line aligned_rate mdate if treated==0, ///
     lcolor(maroon) lwidth(medthick)), ///
 xline(`announce', lpattern(dot)) ///
 xline(`implement', lpattern(dash)) ///
 legend(order(1 "North Carolina" ///
              2 "Comparison mean (shifted)")) ///
 ytitle("Unemployment rate (%)") xtitle("Month") ///
 title("Aligned at January 2013")
graph export "my_aligned_trends.png", replace width(1800)
restore
```

1. Does a constant shift change slopes, monthly changes, or the DiD estimate?
2. Identify a pre-February period supporting or challenging the comparison.
3. Give one policy-related and one non-policy explanation for divergence between February and July.

Parallel trends: without the reform, NC and the comparison group would have experienced the same average changes. Similar pre-policy trends provide evidence, but do not prove this assumption. Matching levels at one date does not validate a counterfactual.

4. Calculate DiD with the broader sample

Use July 2010–June 2013 as before and July–December 2013 as after. Use actual unemployment rates, not shifted graph values.

```
preserve
collapse (mean) unemployment_rate, by(treated post)
list treated post unemployment_rate, noobs sepby(treated)
restore
```

	Before	After	After − Before
North Carolina			
Comparison mean			
NC − comparison			

Check your arithmetic:

```
quietly summarize unemployment_rate if treated==1 & post==0
scalar nc_before = r(mean)
quietly summarize unemployment_rate if treated==1 & post==1
scalar nc_after = r(mean)
quietly summarize unemployment_rate if treated==0 & post==0
scalar c_before = r(mean)
quietly summarize unemployment_rate if treated==0 & post==1
scalar c_after = r(mean)
scalar did_manual = (nc_after-nc_before)-(c_after-c_before)
display "Manual DiD (percentage points): " did_manual
```

My estimate: _____ percentage points.

Relative to the comparison group, NC's unemployment rate ____ by approximately ____ percentage points.

Why need this estimate not equal the NC–VA exercise? Which parts of the design changed? Does the result necessarily mean employment increased? Explain.

5. Estimate DiD using regression

Step 5A. Basic interaction regression:

$$Y_{i,t} = \alpha + \beta D_i + \lambda T_t + \tau(D_i \times T_t) + \varepsilon_{i,t}.$$

```
reg unemployment_rate i.treated##i.post, vce(cluster state_id)
scalar did_basic = _b[1.treated#1.post]
display "Basic regression DiD: " did_basic
```

Step 5B. State and calendar-month fixed effects:

$$Y_{i,t} = \alpha_i + \sum_{j \neq t_0} \gamma_j \mathbf{1}\{t = j\} + \tau(D_i \times T_t) + \varepsilon_{i,t}.$$

Each state has its own baseline α_i. Each year-month has a common effect relative to omitted month t_0; calendar-month effects are not simply month-of-year effects.

```
xtreg unemployment_rate did i.mdate, fe vce(cluster state_id)
estimates store baseline
scalar did_fe = _b[did]
display "Fixed-effects DiD: " did_fe
display "Difference from manual: " did_fe-did_manual
```

Method	Estimate (percentage points)
Manual calculation	
Basic interaction regression	
State/month fixed effects	

1. Why do these point estimates agree in this balanced, equally weighted panel?
2. What do state effects and year-month effects account for?
3. Why is the interaction, rather than the post indicator alone, of interest?

Inference note: state clustering allows within-state dependence, but NC is the only treated state. Conventional clustered p-values may be unreliable. Focus on point estimates and identification assumptions; significance alone cannot establish causality.

6. Investigate timing and write a policy conclusion

The bill passed before implementation. Workers or employers could have responded to the announcement in February–June 2013.

```
preserve
drop if announcement_period==1
xtreg unemployment_rate did i.mdate, fe vce(cluster state_id)
estimates store exclude_announcement
restore
estimates table baseline exclude_announcement, ///
    b(%9.3f) se(%9.3f)
log close
```

Record baseline: _____ pp; excluding February–June: _____ pp.

How does the estimate change? Why does removing these months not prove the remaining comparison identifies a causal effect? **Policy memo: 150–200 words.**

1. State the estimate and interpret its sign and units correctly.
2. Explain what the graphs suggest about the comparison and timing.
3. Discuss two threats to causality, such as anticipation, different recovery paths, or other policies.
4. Explain why unemployment alone cannot establish employment or welfare gains. Name an additional outcome you would examine.

Submit: do-file and log, raw and aligned graphs, completed results tables, and memo. A careful qualified conclusion earns credit even if you find the design unconvincing.

Optional extension: plot through 2018. Explain why nationwide federal emergency-benefit expiration at the end of 2013 complicates a longer post-policy comparison.

Data and scope. Revised BLS LAUS monthly data supplied in the package. This teaching adaptation follows the aggregate application in Dahl and Knepper, *Unemployment Insurance, Starting Salaries, and Jobs*, NBER WP 30152, Figure 2. The broader exercise uses 21 regional comparison states; the supplied notes report that the paper uses 20. It is not an exact replication. See README for the state list and provenance. NC's reform bundles benefit amount, duration, and federal benefit changes; this exercise does not identify their separate effects.

`https://www.nber.org/papers/w30152`
`https://download.bls.gov/pub/time.series/la/`